

		Plaintiff to give notice.
14	Brykrist Development, Inc. vs. Stewart 2024-01372682	Motion for Summary Judgment and/or Adjudication The Motion for Summary Judgment or Adjudication by Plaintiff Brykrist Development, Inc. is CONTINUED to 5/20/25. Defendants’ request for judicial notice of bankruptcy court filings is granted. Defendant’s objections to the Redsun declaration (ROA 52) are overruled. Plaintiff’s objections to the Stewart declaration (ROA 62) are overruled. Plaintiff’s objections to the Witten declaration (ROA 63) are also overruled. “[T]he party moving for summary judgment bears the burden of persuasion that there is no triable issue of material fact and that he is entitled to judgment as a matter of law. That is because of the general principle that a party who seeks a court’s action in his favor bears the burden of persuasion thereon. (See Evid.Code, § 500.) There is a triable issue of material fact if, and only if, the evidence would allow a reasonable trier of fact to find the underlying fact in favor of the party opposing the motion in accordance with the applicable standard of proof.” (<i>Aguilar v. Atlantic Richfield Co.</i> (2001) 25 Cal.4th 826, 850, footnote omitted.) Section 437c, subdivision (p) provides, “(1) A plaintiff or cross-complainant has met that party’s burden of showing that there is no defense to a cause of action if that party has proved each element of the cause of action entitling the party to judgment on the cause of action. Once the plaintiff or cross-complainant has met that burden, the burden shifts to the defendant or cross-defendant to show that a triable issue of one or more material facts exists as to the cause of action or a defense thereto. The defendant or cross-defendant shall not rely upon the allegations or denials of its pleadings to show that a triable issue of material fact exists but, instead, shall set forth the specific facts showing that a triable issue of

		material fact exists as to the cause of action or a defense thereto. In the complaint, Plaintiff alleges a single claim for breach of guarantee arising from a 9/15/18 Financing and Security Agreement (“Agreement”) attached as exhibit A to the complaint. In the Agreement, Stewart Homes, Inc. (SHI) borrowed \$6 million from Plaintiff. The Agreement was guaranteed by Defendants via the Guaranty attached as Exhibit C to the complaint. Defendant fails to present evidence disputing the existence of the Agreement or the Guaranty or the amendments thereto. (Undisputed Facts 1-8.) Defendant concedes she signed the Guaranty, both individually and as Trustee. (Facts 18-19.) Defendant also fails to demonstrate that SHI is not in default under the Agreement. (Facts 14-16.) Plaintiff must show there is no triable issue regarding damages. (See <i>Department of Industrial Relations v. UI Video Stores, Inc.</i> (1997) 55 Cal.App.4th 1084, 1097, 64 Cal.Rptr.2d 457 [“Because issues of the calculation of damages apparently remain to be determined, it is not appropriate to grant summary judgment for appellant at this time”].) Plaintiff submits the declaration of its CEO, who explains that at the time of default, the principal balance outstanding on the Agreement was \$6,302,996.92, and accrued unpaid interest was approximately \$2,218,425.00, with a total amount due of \$8,521,421.92. (¶ 11.) \$4 million of the balance was satisfied by a life insurance policy held by SHI’s principal, Michael Stewart, upon his death. (¶ 15.) Defendant disputes the amount owed based on SHI’s financial records. (Response to Fact 12.) Defendant provides the declaration of Stacie Witten, Senior Managing Director of MCA Financial Group, the Chief Restructuring Office for SHI. Witten declares she examined SHI’s books, records, bank statements and financial records to determine who was paid monies from SHI and who received monies from SHI, and found that Plaintiff received from SHI’s accounts \$4,304,078.24 more that it deposited, not including the \$4 million in life insurance proceeds. (¶ 4.) Therefore, Defendant contends this reduces the amount owed to \$217,343.68.
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	Plaintiff responds to the Witten declaration by stating that the loan agreement was signed almost a year prior to the time frame investigated by Ms. Witten, making Witten’s analysis inaccurate. Plaintiff also contends Witten’s declaration is unsupported by documentary evidence and that Defendant’s counsel has stated they represent Ms. Witten but refuses to allow Plaintiff to conduct discovery regarding her declaration. In opposition, Defendants seek a continuance of the hearing to conduct a deposition of Scott Redsun under Code of Civil Procedure section 437c(h), which states, “If it appears from the affidavits submitted in opposition to a motion for summary judgment or summary adjudication, or both, that facts essential to justify opposition may exist but cannot, for reasons stated, be presented, the court shall deny the motion, order a continuance to permit affidavits to be obtained or discovery to be had, or make any other order as may be just. The application to continue the motion to obtain necessary discovery may also be made by ex parte motion at any time on or before the date the opposition response to the motion is due.” Here, a continuance is appropriate to allow the parties to engage in additional discovery regarding the issue of damages. Specifically, Defendants should be permitted to take the deposition of Mr. Redsun. However, it would be unjust to allow Defendant to take the Redsun deposition without allowing Plaintiff to take the deposition of Ms. Witten regarding the same issues. Therefore, Mr. Redsun and Ms. Witten shall appear for their depositions regarding the issue of damages, pursuant to deposition notices which may include a request for documents, no later than 4/30/25. Each side may file a supplemental brief, not to exceed 10 pages, no later than 5/13/25.
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